Question 8.

[7 marks – 5, 2]

The Age Pension is a fortnightly payment to seniors, aged at least 65 years and 6 months.

	Full Age Pension Payment
Single	$772.60
Couple	$582.40 per qualifying member of a couple

Mr. and Mrs. Robinson are a home-owning couple who are both over the age of 70. They have combined assets of $425 000, of which $216 500 is income-producing and deemed to earn 4% per annum. Mr. Robinson is a part time school crossing supervisor and earns a weekly income of $260. Mrs. Robinson does some private tutoring and earns $180 a fortnight.

After completing the assets test, the combined fortnightly Age Pension for Mr. and Mrs. Robinson is reduced to $936.80.

a) Use the income limits in the table below to calculate the combined fortnightly Age Pension for Mr. and Mrs. Robinson.

Single	$152.00 per fortnight
Couple (combined)	$268.00 per fortnight

The full pension is reduced by 50 cents per fortnight (25 cents for each member of a couple) for each dollar over the amounts specified in the table. The first $250 earned per fortnight (for each member of a couple) from employment does not count in the income test.

Income from investment:

$216\ 500 \times 0.04 = \$8660$ per yr

$= \$333.08$ per fortnight

Income from employment:

$260 \times 2 - 250 = \$270$ / fortnight

* $180 not included.

✓ income from investment

✓ income from employment

Total income: $603.08 / fortnight

✓ total income

Combined pension:

$2 \times 582.40 - (603.08 - 268) \times 0.5$ ✓ reduction

$= \$997.26$

✓ final combined pension

b) Thus, what is the combined Age Pension for Mr. and Mrs. Robinson and why?

Combined Age Pension will be $936.80 ✓

because it is the lower of the two tests. ✓

* must give reason to receive marks.

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10. The fortnightly aged pension is subject to an **assets test**. The full pension for each qualifying member of a couple is $582.40 per fortnight. This amount is reduced depending on the value of combined assets held by the pensioners, as shown below. [3,5,2 marks]

	Fortnightly Pension
Home Owner	$582.40 - $0.75 for each $1000 of assets above $273 000
Non Home Owner	$582.40 - $0.75 for each $1000 of assets above $412 500

a) Determine the fortnightly age pension, using the **assets test**, for each of Bob and Jan, a non-homeowning couple with assets of $600,000.

Bracket correct ✓

$$\$582.40 - \left(\frac{600\,000 - 412\,500}{1000}\right) \times 0.75$$

Reduce by 0.75 ✓

$= \$441.78$ for each person.

Total Pension ✓

The fortnightly aged pension is also subject to an **income test**. Fortnightly combined income above $268 will reduce the pension by 25c per person, per fortnight, for each $1 above $268. However, of the income that is earned from <u>employment</u> the first $250 earned per fortnight does not count in the income test.

b) $450 000 of Bob and Jan's assets are deemed to earn 4% per annum income. They also have an earned income of $350 per fortnight. Calculate the pension that each would receive using the **income test.**

Deemed Income

Deemed income ✓

$450\,000 \times 0.04 \div 26$

$= 692.31$

Earned Income

Earned income ✓

$350 - 250$ (1st $250 not counted).

$= 100$

Total Income per fortnight

Total income ✓

$692.31 + 100$

$= \$792.31$

Pension

$\$582.40 - (792.31 - 268) \times 0.25$

$= \$451.32$

(Employment figure - 268 × 0.25) ✓

Total pension per person ✓

c) Using your answers from part a and part b determine the pension Bob and Jan would each receive. Give a reason for your answer.

Each would receive $441.78 as this is the lower of the two amounts.

✓ chooses correct amount

✓ Gives reasonable reason